IN THE NATIONAL COMPANY LAW TRIBUNAL
ALLAHABAD BENCH, PRAYAGRAJ

CP (CAA) No.20/ALD/2021
Connected with
CA (CAA) No.13/ALD/2021
(Under Sections 230 and 232 of the Companies Act, 2013)

In the matter of
The Companies Act, 2013
And
In the matter of
Section 230(1) read with Section 232(1) and other applicable provisions of the Companies Act, 2013 read with Companies (Compromises, Arrangements and Amalgamations) Rules, 2016
And
In the matter of

GANGA PULP AND PAPERS PRIVATE LIMITED, a company incorporated under the Companies Act, 1956 having Corporate Identification No. U21011UP2000PTC025471and its registered office at 8th Floor, Block-B, Vinayak Plaza, Maldahiya Crossing, Varanasi-221002in the State of Uttar Pradesh.

And

SATABADI VINIMAY PRIVATE LIMITED, a company incorporated under the Companies Act, 1956having Corporate Identification No. U51100UP2004PTC041655and its registered office at 8th Floor, Block-B, Vinayak Plaza-Maldahiya Crossing, Varanasi - 221002in the State of Uttar Pradesh.

Order reserved on: 28.03.2022

Order pronounced on: 06.04.2022

Coram:
Shri Rajasekhar V. K. : Member (Judicial)

Shri Virendra Kumar Gupta : Member (Technical)

Appearances (via videoconferencing):
For the petitioner : Shri Rohit Kumar Keshri, Advocate

Shri JnanaRanjan Dhal, Advocate

For the Regional Director (NR), MCA : Mr Kuldip Singh, Asstt OL

For the Official Liquidator : Mr Kuldip Singh, Asstt OL

—Sd—

ORDER

Per: Virendra Kumar Gupta, Member(Technical)

1. The instant petition has been filed under Section 230(6) read with Section 232(3) of the Companies Act, 2013 ("**Act**") for sanction of the Scheme of Amalgamation of Satabadi Vinimay Private Limited, being the Petitioner No. 2 above named ("**Transferor Company**")with Ganga Pulp and Papers Private Limited, being the Petitioner No. 1above named ("**Transferee Company**")whereby and where under the Transferor Company is proposed to be amalgamated with the Transferee Company from the Appointed Date, viz**1st April, 2020** in the manner and on the terms and conditions stated in the said Scheme of Amalgamation ("**Scheme**").

2. The Petition has now come up for final hearing. Counsel for the Applicants submits as follows:-

(a) The Scheme was approved unanimously by requisite majority by the respective Board of Directors of the Petitioner Nos.1 and 2 at their meetings held on 15thMarch, 2021 respectively.

(b) The circumstances which justify and/or have necessitated the Scheme and the benefits of the same are, inter alia, as follows:-

(i) The Amalgamation would provide economies in costs by combining the total business functions and related operations and activities and will facilitate overall better working capital management and better administration of the Transferee Company.

(ii) The Amalgamation would result in an optimum utilization of the resources, facilities, reserves, financials, managerial, technological, manpower and other resources which will be conducive to enhance the operational efficiencies in the Transferee Company.

(iii) The Amalgamation will result in improved shareholder value for both the petitioner companies by way of improved financial structure and cash flows, increased asset base and stronger consolidated revenue and profitability.

(iv) The Amalgamation would result in enhanced leveraging capability of the Transferee Company which in turn will allow the Transferee Company to undertake future expansion strategies and to tap bigger opportunities.

(v) Consolidation of managerial expertise of the Companies will facilitate greater focus and utilization of resources. Amalgamation will give additional strength to the operations and management of the Transferee Company.

—Sd—

(vi) The Amalgamation of the Transferor Company with the Transferee Company will further result in various benefits including:

1. Increase in resources required for set up of the MSME Industrial Park.
2. Simplified and streamlined business structure;
3. Greater size, scale and financial strength of the Transferee Company;
4. Focused risk management and human resource practices;
5. Lesser regulatory and procedural compliance;
6. Cost savings including savings in fees and duties payable on statutory and procedural compliance;
7. Duplication of administrative functions and multiple record-keeping will be reduced, thereby eliminating duplication of efforts and also resulting in reduced expenditure;
8. Better operational synergies;
9. Improved borrowing powers.

2. Considering the above, this Scheme of Amalgamation will be beneficial to the Companies concerned, their shareholders and other concerned. Accordingly, this Scheme is being presented for Amalgamation of the Transferor Company with the Transferee Company and for various other matters consequential, incidental, supplemental and or otherwise integrally connected therewith pursuant to Sections 232 and other applicable provisions of the Companies Act, 2013.

3. The Statutory Auditors of the Petitioner Nos.1 have by their certificates dated 30th, April, 2021confirmed that the accounting treatment in the Scheme is in conformity with the accounting standards prescribed under Section 133 of the Companies Act, 2013.

4. No proceedings are pending under Sections 210 to 227 of the Companies Act, 2013 against the Petitioner(s).

5. The exchange ratio of shares in consideration of the Amalgamation has been fixed on a fair and reasonable basis and on the basis of the Report thereon of Mr. Anil Kumar Dubey, IBBI Registered Valuers, vide Report dated 15th March, 2021.

—Sd—

6. The shares of the Petitioner No.1 and No.2 are not listed on any Stock exchange.

7. By an order dated 9th August, 2021 in Company Application (CAA) No.13/ALD/ 2021, this Tribunal made the following directions with regard to meetings of shareholders and creditors under Section 230(1) of the Act:--

   i. **Meetings of Equity Shareholders and Creditors dispensed:** In view of the consent affidavits given by the Equity Shareholders of Transferor Companies and Transferee Company and Consent affidavit given by the Secured and unsecured creditors of the Transferee Company, the requirement of convening meetings of the Equity Shareholders of Transferor Companies and the Transferee Company and the requirement of convening the meeting of secured and unsecured creditors of the transferee company for the purpose of considering and if thought fit approving the proposed Scheme of Amalgamation is dispensed with.

8. Consequently, the Petitioner(s) presented the instant petition for sanction of the Scheme. By an order dated 15th November, 2021 the instant petition was admitted by this Tribunal and fixed for hearing on 3rd January, 2022 upon issuance of notices to the Statutory / Sectoral Authorities and advertisement of date of hearing. In compliance with the said order dated 15th November, 2021, the Petitioner(s) have duly served such notices to the Central Government through the Regional Director, Northern Region, Ministry of Corporate Affairs, Registrar of Companies (ROC) Kanpur, Official Liquidator, Allahabad, Income Tax Department at their respective addresses on 1st December, 2021. The Petitioner(s) have also published such advertisements once each in "Business Standard", Uttar Pradesh in its issued dated 2nd December, 2021 and in "Business Standard", Uttar Pradesh in its issue dated 2nd December, 2021. An affidavit dated 7th December, 2021 of compliance in this regard has also been filed by them.

—Sd—

9. All statutory formalities requisite for obtaining sanction of the Scheme have been duly complied with by the Petitioners. The Scheme has been made bona fide and is in the interest of all concerned.

10. Pursuant to the said advertisements and notices the Regional Director, Northern Region, Ministry of Corporate Affairs, New Delhi ("**RD**"), Official Liquidator, High Court, Allahabad have filed their representations/Report before this Tribunal. No other Authority filed any representation.

11. The Official Liquidator has filed his report dated 22nd March, 2022 and concluded that they have has no objection to the dissolution of Transferor Company without winding up pursuant to provisions of Section 230-232 of the Companies Act, 2013 and other applicable section and rules there under apart from submissions made in preceding paras of this report.

12. The RD has filed his affidavit dated 26thMarch, 2022("**RD affidavit**"). The observations of the RD are summarized as under:-

(b) **Paragraph No. 10 (i) of RD Affidavit:**
The office of the Deponent has received an endorsement from the Income Tax Authority vide their letter dated 17.12.2021 in which they have made observation in respect of the above petition stating that:
"it is seen from the record the address of the both the Transferee and transferor Company is "8" Floor Block-B, Vinayak Plaza-Maldahiya Crossing, Varanasi-221002 but the Jurisdiction of the transferor company lies with Income tax Officer, Ward-2(1), Kolkata & transferee Company is assessed at DCIT, Circle-1, Varanasi, From this basic tact it is clear that there must be some degree of suspicious collusion between these two companies, hence amalgamation at this stage is not a par with companies, hence amalgamation at this stage is not a par with company Act, The copy of the endorsement dated17.012.2021 is enclosed herewith and marked as Annexure-C. In view of the above it is prayed before the Hon'ble Tribunal to kindly obtain view of the Income Tax Authority for considering the approval of the Scheme."

Paragraph No. of Rejoinder 8:
Petitioners submits that the the registered address of the both the Transferee and transferor Company are presently situated at "8" Floor Block-B, Vinayak Plaza-Maldahiya Crossing, Varanasi-221002. It is matter of record that the Transferor company was incorporated under the provisions of the

—Sd—

Companies Act, 1956 in the state of West Bengal and thereafter by the Order of the Hon'ble Company Law Board dated 15th July 2010 the transferor Company has shifted its registered office at present place for the ease of doing business and to reduce fixed cost of the Company. A Copy of the Order of the CLB dated 15.07.2010 is attached and marked as Annexure "A". It is further submitted that after the shifting its registered from the state of West Bengal to the State of Utter Pradesh after due process of Law and the Transferor Company has regularly filed its income Tax return till date. A Copy of the Acknowledgement of the Income Tax Return for the last 3 Financial Year 2018-2019 to 2021 – 2022 are attached and collectively marked as Annexure "B". It is submitted that after the approval of the scheme of merger, the proposed transferor company will winding up and accordingly the Jurisdiction of the transferor company will be the Jurisdiction of Transferee Company i.e at "8" Floor Block-B, Vinayak Plaza-Maldahiya Crossing, Varanasi-221002. It is matter of record that as per the direction of the Hon'ble Tribunal petitioners has served a copy of Notices to both the Income Authorities under section 230(5) and also was filed affidavit before this Hon'ble Tribunal and thereafter the petitioners have not received any objection/observation from Income tax Officer.

(b) **Paragraph No. 10 (ii) of RD Affidavit:**

With reference to the observation made by Regional Director Paragraph No. 10 Sub- Paragraph No. "(ii)" save what are matters of record rest all statements are denied and disputed.

Paragraph No. of Rejoinder 9:

Petitioners submit that the Company has never carried any NBFC activity. The main object of the Company is general trading business and other related activities and the same can be evident from the Memorandum of Association of the Company which is nowhere related with any financial activity. It is evident from the Balance sheet of the Company of 31.03.2019, that the Company has no Revenue operation however the said Transferor company has written off current liabilities of M/s. Ajcon Global Service Limited and an amount of Rs. 4,50,000/- to the said transaction which is an one time Income for the Transferor company. It is Further evident from notes No. 4 & 9 of the Notes to account that The Company's stated that its intention is not to carry out the NBFC activities and Transferor Company has no business activities 31.03.2017, 31.03.2018, 31.03.2019, 31.03.2020 and 31.03.2021. Further the Amalgamation of proposed transferor company is carrying on business in terms of the Scheme and the Transferee Company is engaged in business of manufacturers, processors papers pulps activities and combined Financials of merged entity does not fulfill the criteria of 45-IA of the Reserve Bank of India Act 1934. So, I reiterate the Company is not carrying any NBFC business Transaction since incorporation till date. A Copy of the Balance Sheet of the Company as at 31.03.2019 is collectively marked as Annexure "C".

—Sd—

13. Having heard the Learned Counsel for the petitioner and the representative of the RD, we find that there appears to be no reservation to grant sanction to the Scheme and we are of the view that the sanction of the present Scheme is not against public policy, nor it would be prejudicial to the public interest at large.

14. In addition to above, all the statutory compliance seems to have been complied with by the Petitioner Company, therefore, the present Company Petition deserves to be allowed in terms of its prayer clause.

15. In the result, the proposed Scheme of Amalgamation, which is annexed to the Company Petition stands approved and sanctioned. The Petitioner Company shall act as per terms and conditions of the sanctioned Scheme and the same shall be binding on all the Shareholders, Secured Creditors and Unsecured Creditors of the above-named Petitioner Companies and also on the Petitioner Company with effect from the Appointed Date *i.e.,* **1st April, 2020.**

16. While approving the Scheme as above, it is clarified that this order should not be construed as, in any way, granting exemption from payment of stamp duty *(if any, is applicable),* taxes *(including Income Tax, GST or any other charges, if any, are applicable)* and payment in accordance with law or in respect to any permission/ compliance with any other requirement which may be specifically required under any law. Also, the Transferor Company No.1, Transferor Company No.2 and Transferor Company No.3 shall stand dissolved without undergoing the process of winding up.

17. The Petitioner Company shall within thirty days of the date of the receipt of this order cause a certified copy of this order to be delivered to the Registrar of Companies, Uttar Pradesh for registration.

18. All the concerned Regulatory Authorities to act on a copy of this order annexed with the Scheme duly authenticated by the Registrar, of this Bench.

19. Leave is granted to the Petitioner Companies to file the Schedule of Assets within three weeks from today.

—Sd—

20. The Petitioner Companies are further directed to cause a certified copy of the formal order to be delivered within 30 days from the date of its receipt to the Registrar of Companies for registration in terms of Section 230-232 of the Companies Act, 2013 read with National Company Law Tribunal Rules, 2016 along with The Companies (Compromises, Arrangements and Amalgamations) Rules, 2016.

21. The Petitioners shall supply legible print out of the Scheme and Schedule of Assets in acceptable form to the Registry and the Registry will append such printout, after verification, to the certified copy of the order.

22. Accordingly, the present CP (CAA) No.20/ALD/2021 is allowed and stands disposed of.

—Sd—

Rajasekhar V K
Digitally signed by Rajasekhar V K
Date: 2022.04.06 19:30:58 +05'30'

Virendra Kumar Gupta
Member (Technical)

Rajasekhar V.K.
Member (Judicial)